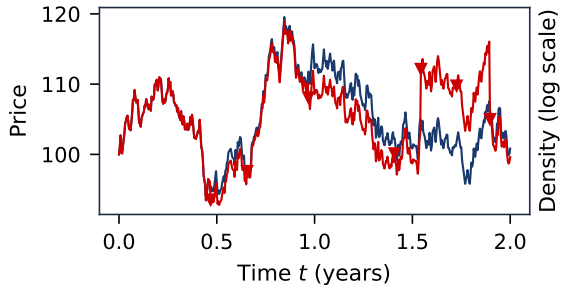
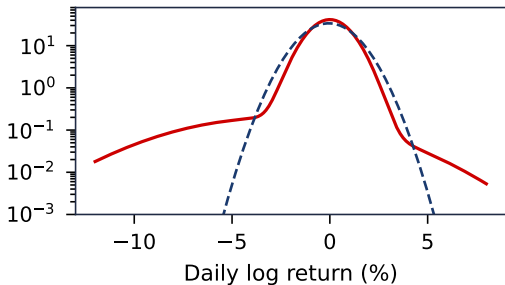


$\lambda = 5$ a year, $\mu_j = -3\%$, $\sigma_j = 4\%$



Daily density: a Poisson mixture of Normals



— Same shocks, no jumps (GBM)

▼ Jump days (7)

- - - Normal, same mean and variance

— Merton: GBM plus jumps

— Merton mixture density